

ECO402 Mcq's Midterm By Vu Topper RM

Which of the following statements is correct?

- A. Car and petrol are substitute goods.
- B. Butter and margarine are examples of substitute goods.**
- C. Tea and coffee are complementary goods.
- D. Butter and margarine are examples of complement goods.

Which of the following is a branch of economics that deals with observations of real economic facts?

- A. Welfare economics
- B. All of the given options
- C. Positive economics**
- D. Normative economics

The supply curve slopes upward demonstrating that at:

- A. Lower prices firms will increase output.**
- B. Higher prices firms will decrease output.
- C. None of the given options.
- D. Higher prices firms will increase output.

Since Tea and coffee are considered as substitutes, the cross price elasticity of demand for tea and coffee will be:

- A. Negative
- B. Infinity
- C. zero
- D. Positive**

Aslam consumes more of a good due to increase in his income. For Aslam, this good is categorized as:

- A. Inferior
- B. Public
- C. Normal**
- D. Giffen

When the cost of labor decreases then it will lead to shift in:

- A. Supply curve towards left.

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B. Supply curve towards right.

C. Demand curve towards right.

D. Demand curve towards left.

When the cost of raw material decreases then it will lead to shift in:

A. Demand curve towards left.

B. Supply curve towards right.

C. Supply curve towards left.

D. Demand curve towards right.

Which of the following will cause the demand curve for Apple to shift to the left?

A. Decrease in the price of complements

B. Increase in taste and preferences

C. Decrease in taste and preference

D. Increase in income

When we study behavior of an individual of any society that means we are doing study of _____ Economics.

A. Macro

B. Financial

C. Managerial

D. Micro

A geographically defined area where buyers and sellers interact to determine the price of a product is called:

A. Club

B. Stadium

C. bank

D. market

Since car and petrol are complements to each other, if price of petrol increases then it will Shift the:

A. Demand curve of car towards left.

B. Demand curve of petrol towards right.

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- C. Demand curve of car towards right.
- D. Supply curve of car towards right.

Suppose a college professor opens an academy for the coaching classes. He hires three more teachers with him. The college professor would most likely be which of the following factors of production?

- A. Land
- B. Labor
- C. Capital
- D. Entrepreneurship**

Which of the following statements is correct?

- A. Income elasticity of demand for normal goods is negative.
- B. Cross elasticity of demand for substitutes is negative.
- C. Cross elasticity of demand for substitutes is positive.**
- D. Income elasticity of demand for inferior goods is positive.

OPEC is an example of:

- A. Illegal market
- B. Non-competitive market**
- C. Competitive market
- D. None of the given options

Responsiveness of percentage change in quantity demanded of one good due to one percentage change in price of another good is familiarly known as _____ elasticity of demand.

- A. Price
- B. Cross-price**
- C. Income
- D. Point price

Suppose the price of meat remains constant. Which of the following will happen as a result of decrease in consumer's income?

- A. Supply curve of meat shifts towards right.
- B. Demand curve of meat shifts towards left.**

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- C. Demand curve of meat shifts towards right.
- D. Supply curve of meat shifts towards left.

When the income of the consumers decreases then it will lead to shift in:

- A. Demand curve towards left.**
- B. Demand curve towards right.
- C. Supply curve towards right.
- D. Supply curve towards left.

If the percentage change in quantity demanded for bread is more than the percentage change in price of bread then the price elasticity of demand for bread is:

- A. Perfectly elastic.
- B. Inelastic
- C. Unitary elastic.
- D. Elastic.**

Income elasticity of demand for a normal good is always:

- A. Greater than 1.
- B. Between 0 and 1.**
- C. Negative.
- D. Between 1 and 2.

When the cost of raw material increases then it will lead to shift in:

- A. Demand curve towards right.
- B. Supply curve towards left.**
- C. Supply curve towards right.
- D. Demand curve towards left.

When the actual market price exceeds the equilibrium market price, there will be:

- A. Upward pressure on the market price.
- B. Downward pressure on the market price.**
- C. No pressure on the market price.
- D. No purchases made.

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Coffee and tea are considered as substitutes, if price of coffee increases then it will shift:

- A. Demand curve for tea towards left.
- B. Demand curve for tea towards right.**
- C. Supply curve for tea towards left.
- D. Demand curve for coffee towards right.

Since car and petrol are complements, the cross price elasticity of demand for car and petrol will be:

- A. zero
- B. positive
- C. infinity
- D. negative**

Since car and petrol are complements to each other, if price of petrol decrease then it will Shift the:

- A. Demand curve of car towards right.**
- B. Supply curve of car towards right.
- C. Demand curve of car towards left.
- D. Demand curve of petrol towards left.

Which of the following is correct?

- A. Price elasticity of demand = Percentage change in price / Percentage change in Demand
- B. Price elasticity of demand = Percentage change in Quantity demanded / Percentage change in Price**
- C. Price elasticity of supply = Percentage change in Quantity demanded / Percentage change in Price
- D. Price elasticity of demand = Change in price / Change in Demand

The bowed out shape of the production possibilities frontier indicates:

- A. The constant opportunity cost**
- B. Resources are used inefficiently

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- C. That resources are perfectly adaptable to the production of the two goods
- D. That resources are not perfectly adaptable to the production of the two goods

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